FICTIONAL PROTOTYPE · Fictional organisation · Test-fixture figures, not an approved score · Not a certified paid report

MK FRAUD INSIGHTS

COMPREHENSIVE FRAUD READINESS REPORT

Fraud schemes, target control environment and implementation programme

In 6 fraud schemes the organisation's own answers conflict or rely on a weaker practice, and 4 schemes have a control reported as a gap.

Calculated figure 87.8 / 100 (Strategic), a test fixture. It is not a readiness conclusion while 6 schemes have answers still to resolve (Section 2).

PREPARED FOR

Fictional Retail Group (overstated confirmations)

Assessment reference · FX-P6b

CONFIDENTIAL · AUTOMATED ANALYSIS · NOT INDEPENDENTLY REVIEWED

HOW TO READ THIS REPORT

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THE TWO HALVES OF THIS REPORT

Sections 1–9 are the management report. The appendices hold every scheme, risk, control, record, action, measure, answer relationship and outstanding answer behind it, and the supporting workbook holds the same registers with the method references that trace each row to the question asked and the answer given.

BASIS OF THIS REPORT

This report is produced by fixed rules from the organisation's answers to the MK Fraud Readiness review, read against the draft review method, which MK has not yet approved. The AI manuscript stage has not been run; the interpretation in each section is fixed-rule text. No evidence has been examined, no control has been tested for operating effectiveness, no one has been interviewed and no assurance opinion is given. Records named in this report are records management should maintain; independent review of evidence is a separate Advisory service.

TEST FIXTURE

SECTION 1 · WHERE THE ORGANISATION STANDS

What the answers indicate

Each applicable fraud scheme, classified from the organisation's own answers. Nothing here has been tested or verified.

106
FRAUD SCHEMES THAT APPLY

96
CONTROLS THAT STOP THE SCHEME REPORTED IN PLACE

4
A CONTROL REPORTED AS A GAP

6
ANSWERS TO RESOLVE

0
ANSWERS OUTSTANDING

AREA	SCHEMES	IN PLACE	IN PLACE, FURTHER DEFENCE WEAKER	GAP	TO RESOLVE	NOT ANALYSED	CALCULATED FIGURE*
Fraud risk assessment	6	2	2	0	2	0	91.7
Detection, speak-up and response	8	5	2	0	1	0	86.7
Third parties and supply chain	13	9	2	1	1	0	85.7
Assets, cash and inventory	10	7	1	1	1	0	82.0
People, payroll and insider risk	11	7	2	1	1	0	89.1
Ethics, integrity and anti-corruption	10	7	2	1	0	0	81.0
Fraud governance and accountability	12	11	1	0	0	0	90.0
Finance, banking and financial reporting	12	11	1	0	0	0	92.5
Customers, revenue and products	10	9	1	0	0	0	92.0
Digital, cyber-enabled and identity fraud	14	13	1	0	0	0	87.1

* Calculated figure 87.8 / 100 (Strategic). TEST FIXTURE: hypothetical research value (scoring-frame simulation, Option A, midpoint, equal areas, no caps). Not an approved score, band or rating. Under the R-1 convention it is not read as a conclusion while 6 schemes have answers to resolve.

WHAT THIS MEANS

96 of the 106 schemes have the controls that stop them reported in place; in 15 of these a further defence is reported weaker, which does not change the answer given for the control. 4 have a control reported as a gap, 0 of them in tier 1, the schemes the draft method confirms in its core stage. The tier says how early the method asks about a scheme; it is not a rating of how serious it is. In 6 the answers need resolving before the scheme can be treated as covered (Section 2). The core stage is complete and the breadth stage complete; 106 of the 106 schemes asked about can be analysed in full from the answers given.

SECTION 2 · WHAT IS DRIVING THE POSITION

The patterns behind the answers

Answers to resolve first, then requirements that span several areas, then where the gaps concentrate.

Answers to resolve

Where a control was reported fully in place and a practice of the same scheme weaker, the two answers were compared using the method's wording. These are the schemes where the answers cannot both be right, or where the reported control relies on the weaker practice. The other 15 comparisons found a separate defence, listed in Appendix G.

SCHEME	RELATIONSHIP	WHAT THE ANSWERS SAY	OWNER
AI-enabled schemes are not considered S01 · Fraud risk assessment	ANSWERS THAT CANNOT BOTH BE RIGHT	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it.	Fraud risk lead
An investigation is not independent or fair S02 · Detection, speak-up and response	ANSWERS THAT CANNOT BOTH BE RIGHT	The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right.	Investigations lead
Invoices are paid for goods or services not received or not agreed S03 · Third parties and supply chain	CONTROL RELIES ON A WEAKER PRACTICE	Three-way match is reported for every invoice, but receipt of goods is reported as recorded before payment for most deliveries only. The match can check an invoice against receipt only where receipt has been recorded, so it cannot operate for every invoice as reported. For services, the person receiving the service is reported as not confirming delivery before payment, which is the receipt the match relies on for service invoices. Service invoices cannot be checked against receipt as reported.	Finance lead
Stock is stolen and hidden in the counts S04 · Assets, cash and inventory	CONTROL RELIES ON A WEAKER PRACTICE	Counts are reported as independent and blind to system quantities, but stock is reported as not formally recorded. Without a stock record there is nothing to compare a count with, so the counts cannot reveal stock hidden in them as reported.	Finance lead
Risks above tolerance are left without action S05 · Fraud risk assessment	CONTROL RELIES ON A WEAKER PRACTICE	Responses are reported for every risk above tolerance, but risks are reported as not rated for likelihood and harm. The method identifies risks above tolerance by comparing ratings with the approved tolerance, so the reported response process has no established way of telling which risks are above it.	Fraud risk lead
An insider in a high-risk role works unchecked S06 · People, payroll and insider risk	CONTROL RELIES ON A WEAKER PRACTICE	Block leave is reported for everyone in a sensitive role, with compliance monitored, but high-risk roles are reported as known informally rather than listed. The requirement can reach only the roles that have been identified.	HR and payroll lead

Requirements that span several areas

The method groups some controls into requirements that cross areas. Where two or more of them are reported as gaps in different areas, the weakness is connected: fixing one area leaves the route open through another.

REQUIREMENT	CONTROLS REPORTED AS GAPS	IN PLACE OF THOSE ASKED
Independent assurance examines high-risk processes	Independent review of procurement (procurement: partly in place); Independent review of payroll (people: partly in place)	0 of 2

Where the gaps concentrate

AREA	SCHEMES WITH A GAP	OF WHICH TIER 1	SCHEMES IN THE AREA
Ethics, integrity and anti-corruption	1	0	10
People, payroll and insider risk	1	0	11
Third parties and supply chain	1	0	13

AREA	SCHEMES WITH A GAP	OF WHICH TIER 1	SCHEMES IN THE AREA
Assets, cash and inventory	1	0	10

The schemes themselves are listed by area in Section 3.

WHAT THIS MEANS

The 6 schemes with answers to resolve come first, because a control relied on as reported may not operate that way. 1 requirement spans several areas with gaps in more than one, most widely: independent assurance examines high-risk processes. Of the 4 schemes with a control reported as a gap, spread across 4 areas. This is a count of schemes, not a rating of their seriousness.

SECTION 3 · WHERE THE MATERIAL FRAUD EXPOSURE SITS

Open and unresolved fraud schemes

Every scheme with a control reported as a gap or answers to resolve, grouped by area. MK has not yet approved a method for rating fraud risks, so no likelihood, impact or priority is assigned. Each scheme's risk statement is in Appendix B and its finding in Appendix A.

AREA	OPEN	SCHEMES (TIER 1 IN BOLD; ANSWERS TO RESOLVE MARKED)
Fraud risk assessment	2	**AI-enabled schemes are not considered** S01 TO RESOLVE ; Risks above tolerance are left without action S05 TO RESOLVE
Detection, speak-up and response	1	An investigation is not independent or fair S02 TO RESOLVE
Third parties and supply chain	2	**Invoices are paid for goods or services not received or not agreed** S03 TO RESOLVE ; Procurement anomalies are never noticed S09
Assets, cash and inventory	2	**Stock is stolen and hidden in the counts** S04 TO RESOLVE ; Losses are never tracked S10
People, payroll and insider risk	2	An insider in a high-risk role works unchecked S06 TO RESOLVE ; Hours and overtime are inflated S08
Ethics, integrity and anti-corruption	1	Donations or sponsorships channel bribes S07

A further 15 schemes have the control that stops it reported in place with a further defence weaker. These are not open schemes; they are in Appendix A and their practices in Appendix C.

WHAT THIS MEANS

10 schemes are open or unresolved across 6 areas, 3 of them in tier 1. The grouping shows where the work sits; it does not rank the schemes, and Section 7 asks management to decide the order.

SECTION 4 · FRAUD SCENARIO PORTFOLIO

How the schemes would work here

Plausible pathways for an organisation with the controls it reported, using the method's own description of each scheme. They are not allegations that any event has occurred.

AI-enabled schemes are not considered

S01 · FRAUD RISK ASSESSMENT · TIER 1

HOW IT STARTS	Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk.
WHY IT MATTERS	These schemes defeat controls that rely on recognising a person or a document.
WHAT THE ANSWERS SHOW	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it.
WHAT WOULD INTERRUPT IT	AI methods tested per process: in place across everything it should cover.
WARNING SIGNS	AI-enabled fraud not anticipated
LINKS	F01, FR01, C04, C02, C03, C05, C01

An investigation is not independent or fair

S02 · DETECTION · TIER 2

HOW IT STARTS	The investigator is too close to the matter, or conclusions ignore other explanations.
WHY IT MATTERS	The method links it to investigations that cannot stand up in a hearing or in court and reports that are lost, ignored or handled by people who are implicated.
WHAT THE ANSWERS SHOW	The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right.
WHAT WOULD INTERRUPT IT	Who investigates: the organisation's own forensic or investigation team or an external forensic firm, brought in when needed.
WARNING SIGNS	Investigations that cannot stand up in a hearing or in court; Reports that are lost, ignored or handled by people who are implicated
LINKS	F02, FR02, C07, C06

Invoices are paid for goods or services not received or not agreed

S03 · PROCUREMENT · TIER 1

HOW IT STARTS	Overbilling, fictitious deliveries or inflated rates are paid.
WHY IT MATTERS	Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid.
WHAT THE ANSWERS SHOW	Three-way match is reported for every invoice, but receipt of goods is reported as recorded before payment for most deliveries only. The match can check an invoice against receipt only where receipt has been recorded, so it cannot operate for every invoice as reported. For services, the person receiving the service is reported as not confirming delivery before payment, which is the receipt the match relies on for service invoices. Service invoices cannot be checked against receipt as reported.
WHAT WOULD INTERRUPT IT	Receipt is always recorded before the related invoice is paid. Services confirmed: in place across everything it should cover.
WARNING SIGNS	Duplicate or false invoices; Goods or services paid for but not received
LINKS	F03, FR03, C08, C09, C10

Donations or sponsorships channel bribes

S07 · ETHICS · TIER 2

HOW IT STARTS	A payment to a cause linked to a decision-maker buys influence.
WHY IT MATTERS	The method links it to donations and sponsorships used as disguised bribes and undeclared conflicts of interest steering decisions.
WHAT THE ANSWERS SHOW	Recipients checked for links: reported in place only in some areas, cases or periods.
WHAT WOULD INTERRUPT IT	Recipients checked for links: in place across everything it should cover.
WARNING SIGNS	Donations and sponsorships used as disguised bribes; Undeclared conflicts of interest steering decisions
LINKS	F07, FR07, C22

Hours and overtime are inflated

S08 · PEOPLE · TIER 2

HOW IT STARTS	Unworked hours or overtime are approved and paid.
WHY IT MATTERS	The method links it to timesheet, overtime and leave abuse.
WHAT THE ANSWERS SHOW	Hours approved by supervisor: reported in place only in some areas, cases or periods.
WHAT WOULD INTERRUPT IT	Hours approved by supervisor: in place across everything it should cover.
WARNING SIGNS	Timesheet, overtime and leave abuse
LINKS	F08, FR08, C23

Procurement anomalies are never noticed

S09 · PROCUREMENT · TIER 3

HOW IT STARTS	Patterns such as splitting or duplicates go unseen.
WHY IT MATTERS	The method does not describe the consequence of this scheme.
WHAT THE ANSWERS SHOW	Senior review of supplier payments: reported in place only in some areas, cases or periods. Behind it, split orders monitored is set out, not yet operating, data reviewed for unusual patterns is not in place and independent review of procurement is partly in place.
WHAT WOULD INTERRUPT IT	Senior review of supplier payments: in place across everything it should cover.
WARNING SIGNS	The method names none for this scheme.
LINKS	F09, FR09, C27, C26, C24, C25

4 further open schemes are described in Appendices A and B.

SECTION 5 · THE CONTROL ENVIRONMENT MANAGEMENT SHOULD BUILD

Target controls, by programme

One programme for each accountable role. Each control is described in full once, in Appendix C, with the draft method's standard; here it is named with its reference and what it is for.

Fraud risk lead

12 CONTROLS

STOPS	AI-enabled schemes are not considered and risks above tolerance are left without action.
RESOLVE THE ANSWERS	AI-enabled fraud covered (C01, in place); AI methods tested per process (C03, not in place).
PUT IN PLACE	Likelihood and impact rated (C17, not in place).
DEPENDENCIES	Likelihood and impact rated (C17) is relied on by Response decided.
STRENGTHEN	9 further defences reported weaker behind a control reported in place or a gap: C02, C04, C05, C33, C34, C35, C36, C59, C60 (Appendix C).

Operations lead

10 CONTROLS

STOPS	invoices are paid for goods or services not received or not agreed and stock is stolen and hidden in the counts.
PUT IN PLACE	Receipt recorded before payment (C09, partly in place); Services confirmed (C10, not in place); How stock is recorded (C16, not in place).
DEPENDENCIES	Receipt recorded before payment (C09) is relied on by Three-way match; Services confirmed (C10) is relied on by Three-way match; How stock is recorded (C16) is relied on by Independent blind counts.
STRENGTHEN	7 further defences reported weaker behind a control reported in place or a gap: C11, C12, C13, C14, C50, C51, C52 (Appendix C).

Finance lead

4 CONTROLS

STOPS	procurement anomalies are never noticed and losses are never tracked.
PUT IN PLACE	Senior review of supplier payments (C27, partly in place); Losses tracked and reported (C28, partly in place).
STRENGTHEN	2 further defences reported weaker behind a control reported in place or a gap: C15, C48 (Appendix C).

HR and payroll lead

12 CONTROLS

STOPS	an insider in a high-risk role works unchecked and hours and overtime are inflated.
PUT IN PLACE	High-risk roles identified (C18, partly in place); Hours approved by supervisor (C23, partly in place).
DEPENDENCIES	High-risk roles identified (C18) is relied on by Block leave required.
STRENGTHEN	10 further defences reported weaker behind a control reported in place or a gap: C19, C20, C21, C37, C44, C45, C46, C47, C61, C62 (Appendix C).

Investigations lead

3 CONTROLS

STOPS	an investigation is not independent or fair.
RESOLVE THE ANSWERS	Investigators independent (C06, in place); Who investigates (C07, partly in place).
STRENGTHEN	1 further defence reported weaker behind a control reported in place or a gap: C54 (Appendix C).

Ethics lead

4 CONTROLS

STOPS	donations or sponsorships channel bribes.
PUT IN PLACE	Recipients checked for links (C22, partly in place).
STRENGTHEN	3 further defences reported weaker behind a control reported in place or a gap: C55, C63, C64 (Appendix C).

Chief executive

2 CONTROLS

STRENGTHEN	2 further defences reported weaker behind a control reported in place or a gap: C29, C30 (Appendix C).

Chief financial officer

2 CONTROLS

STRENGTHEN — 2 further defences reported weaker behind a control reported in place or a gap: C31, C32 (Appendix C).

Commercial and customer lead

1 CONTROL

STRENGTHEN — 1 further defence reported weaker behind a control reported in place or a gap: C49 (Appendix C).

Internal audit

2 CONTROLS

STRENGTHEN — 2 further defences reported weaker behind a control reported in place or a gap: C24, C25 (Appendix C).

IT lead

1 CONTROL

STRENGTHEN — 1 further defence reported weaker behind a control reported in place or a gap: C53 (Appendix C).

Legal and compliance lead

1 CONTROL

STRENGTHEN — 1 further defence reported weaker behind a control reported in place or a gap: C38 (Appendix C).

Procurement lead

10 CONTROLS

STRENGTHEN — 10 further defences reported weaker behind a control reported in place or a gap: C08, C26, C39, C40, C41, C42, C43, C56, C57, C58 (Appendix C).

WHAT THIS MEANS

9 controls are to be put in place, 4 need their answers resolved and 51 are further defences to strengthen. 5 controls are relied on by another control, as the method establishes, and should be designed first. Where the method describes a control only by its in-place answer, Appendix C says so rather than adding detail the method does not contain.

SECTION 6 · WHO MUST OWN THE RESPONSE

Accountability by role

Roles, not individuals: the assessment does not identify people. The method suggests owners in many forms; this report uses one label per function, and Appendix I lists the method's wording behind each. Oversight: The board or its audit committee, from the organisation's own governance answer.

ROLE	CONTROLS	SCHEMES	ACTIONS	ANSWERS TO RESOLVE OR OBTAIN
Fraud risk lead	12	4	13	AI-enabled schemes are not considered; Risks above tolerance are left without action
Operations lead	10	3	11	None
Finance lead	4	4	7	Invoices are paid for goods or services not received or not agreed; Stock is stolen and hidden in the counts
HR and payroll lead	12	6	14	An insider in a high-risk role works unchecked
Investigations lead	3	2	3	An investigation is not independent or fair
Ethics lead	4	3	5	None
Chief executive	2	1	12	None
Chief financial officer	2	1	3	None
Commercial and customer lead	1	1	2	None
Internal audit	2	1	3	None
IT lead	1	1	2	None
Legal and compliance lead	1	1	2	None
Procurement lead	10	4	11	None
Chief executive	0	11	12	Names the accountable executives, decides the order of work and reports status to the board or its audit committee.

SECTION 7 · DECISIONS LEADERSHIP MUST MAKE

The decision agenda

A recommended direction follows the method and the answers; the decision remains management's. No deadline is set: "when" states what each decision must come before.

REF	DECISION	WHY	RECOMMENDED DIRECTION	WHEN	IF DELAYED
D01	**Have the 6 schemes whose answers conflict or rely on a weaker practice resolved before any of them is treated as covered.**	2 schemes have answers that cannot both be right, and 4 schemes rely on a control whose prerequisite is reported weaker.	Ask each process owner to establish which answer reflects how the process runs, and correct the record.	Before the controls concerned are relied on or reported as in place.	The organisation may rely on a control that does not operate as reported.
D02	**Name one accountable executive for each area with open or unresolved schemes: fraud risk assessment (2), ethics (1), procurement (2), people (2), assets (2) and detection (1).**	Each scheme needs one person with authority over the process, the system and the people involved.	The method suggests: fraud risk lead for fraud risk assessment, ethics lead for ethics, procurement lead for procurement, HR and payroll lead for people and operations lead for assets, and the leads named in the register for the rest.	Before design work starts.	Open schemes have no owner and the controls that stop them stay unassigned.
D03	**Decide which open schemes to address first.**	The draft method does not yet rank fraud risks by likelihood or impact, so this report does not rank them. The tier shows how early the method confirms a scheme, not how serious it is.	Resolve conflicting answers and prerequisites first, as the method requires; order the rest using management's own knowledge of volumes, values and exposure.	Before design work starts.	Effort is spread across every scheme at once, or follows the order of this report, which is not a risk ranking.
D04	**Have the board or its audit committee receive the status of the open and unresolved schemes at each of its meetings until each is closed, deferred with a reason or accepted.**	Regular reporting keeps the schemes visible to the people who can remove blockers.	A one-page status per scheme: owner, controls in place, controls outstanding, next step.	From the first meeting after this report.	Progress is not visible until the next assessment.

SECTION 8 · WHAT SHOULD HAPPEN, AND IN WHAT ORDER

The implementation programme

Six phases, ordered by what must be known and decided before controls are built. No dates are set from a scheme's tier or answers; management sets them. Every action is in Appendix E.

#	PHASE	PURPOSE	ACTIONS	INCLUDES
1	**Establish the facts**	Resolve answers that conflict or rely on a weaker practice, and obtain outstanding answers, so that nothing is built on an answer that may be wrong.	6	Establish which answer is right for AI-enabled schemes are not considered: AI-enabled fraud covered and AI methods tested per process. Establish which answer is right for an investigation is not independent or fair: investigators independent and who investigates. Confirm how three-way match operates while receipt recorded before payment and services confirmed are reported weaker. 3 more in Appendix E.
2	**Decide and assign**	Name who is accountable for each area, decide which open schemes to address in this cycle and approve the target designs.	8	Name the executive accountable for fraud risk assessment, where 2 schemes are open or unresolved. Name the executive accountable for ethics, where 1 scheme is open or unresolved. Name the executive accountable for procurement, where 2 schemes are open or unresolved. 5 more in Appendix E.
3	**Put prerequisites in place**	Controls that other controls rely on, as the method establishes.	5	Put in place: receipt recorded before payment (C09), relied on by Three-way match. Put in place: services confirmed (C10), relied on by Three-way match. Put in place: how stock is recorded (C16), relied on by Independent blind counts. 2 more in Appendix E.
4	**Put the remaining controls in place**	The controls reported as gaps for the schemes management has selected.	4	Put in place: recipients checked for links (C22). Put in place: hours approved by supervisor (C23). Put in place: senior review of supplier payments (C27). 1 more in Appendix E.
5	**Strengthen further defences**	Practices reported weaker behind a control reported in place.	51	Strengthen: own AI tools in scope (C02). Strengthen: controls tested against AI fakes (C04). Strengthen: simulated AI attack (C05). 48 more in Appendix E.
6	**Operate, measure and report**	Run each control through a full cycle, check it against its success measure and report status to the oversight body.	14	Run the 12 controls owned by the fraud risk lead through a full cycle and check each against its success measure. Run the 3 controls owned by the investigations lead through a full cycle and check each against its success measure. Run the 10 controls owned by the procurement lead through a full cycle and check each against its success measure. 11 more in Appendix E.

WHAT THIS MEANS

Phases 1 and 2 need no new control: they establish the facts, name owners and choose the order of work. Phase 3 then puts in place the controls others rely on, so that no control is built on something that does not exist. Phase 6 runs each control through a full cycle and reports status to the board or its audit committee.

SECTION 9 · HOW MANAGEMENT WILL KNOW IT IS WORKING

Measures and reporting

Each control has one success measure, in the method's own terms (Appendix F). These are the signals management should expect once a control operates; they are not a claim that they exist today.

INDICATOR	TODAY	EXPECTED
Schemes with answers to resolve	6	None; each corrected answer recorded
Open schemes with a named owner and a recorded decision	None recorded (4 open)	Every open scheme selected, deferred with a reason or accepted
Controls meeting their success measure for a full cycle	Not measured	Each control put in place (9)
Status reported to the board or its audit committee	Not yet	At each meeting until each scheme is closed, deferred or accepted

Measures by programme

PROGRAMME	MEASURES	EXAMPLE
Fraud risk lead	12	The position the method treats as in place holds for the period: simulated AI attack: in place.
Operations lead	10	Records for the period show this practice applied to every case in scope: services confirmed.
Finance lead	4	Records for the period show this practice applied to every case in scope: losses tracked and reported.
HR and payroll lead	12	Records for the period show this practice applied to every case in scope: training on joining.
Investigations lead	3	The position the method treats as in place holds for the period: speak-up channel: run by an independent provider or run internally.
Ethics lead	4	Records for the period show this practice applied to every case in scope: trends reported upward.
Chief executive	2	Records for the period show this practice applied to every case in scope: dedicated fraud capability.
Chief financial officer	2	Records for the period show this practice applied to every case in scope: qualified fraud leads.
Commercial and customer lead	1	Records for the period show that every refund goes to the original payment method or to a customer account verified before payment.
Internal audit	2	Records for the period show this practice applied to every case in scope: data reviewed for unusual patterns.
IT lead	1	Records for the period show this practice applied to every case in scope: mailbox rules and odd logins alerted.
Legal and compliance lead	1	Records for the period show that all high-risk activities, such as winning work, licences, customs and inspections, are identified and have specific extra controls.
Procurement lead	10	Records for the period show this practice applied to every case in scope: contract register.

CONCLUSION

Fictional Retail Group (overstated confirmations)'s answers show 96 schemes with the controls that stop them reported in place and 4 with a control reported as a gap. The first task is to resolve the 6 schemes whose answers conflict or rely on a weaker practice; until then the calculated figure should not be read as a conclusion. The order of the remaining work is management's decision, because the draft method does not yet rank fraud risks; this report sets out what each scheme needs, who owns it and how management will know it is working.

APPENDIX A

Finding register

Every scheme with a control reported as a gap, answers to resolve, or a further defence weaker. "What the answers show" is self-reported and has not been verified. A scheme with answers to resolve is not treated as covered until they are resolved; a further defence reported weaker does not change the answer given for the control that stops the scheme.

REF	SCHEME	WHAT THE ANSWERS SHOW	HOW IT HAPPENS AND WHY IT MATTERS (METHOD)	LINKS
F01 S01	**AI-enabled schemes are not considered** Fraud risk assessment · tier 1 ANSWERS THAT CANNOT BOTH BE RIGHT	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it. Answered by Risk and investigations and the respondent.	Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk. These schemes defeat controls that rely on recognising a person or a document.	FR01, C04, C02, C03, C05, C01
F02 S02	**An investigation is not independent or fair** Detection, speak-up and response · tier 2 ANSWERS THAT CANNOT BOTH BE RIGHT	The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right. Answered by the respondent.	The investigator is too close to the matter, or conclusions ignore other explanations.	FR02, C07, C06
F03 S03	**Invoices are paid for goods or services not received or not agreed** Third parties and supply chain · tier 1 CONTROL RELIES ON A WEAKER PRACTICE	Three-way match is reported for every invoice, but receipt of goods is reported as recorded before payment for most deliveries only. The match can check an invoice against receipt only where receipt has been recorded, so it cannot operate for every invoice as reported. For services, the person receiving the service is reported as not confirming delivery before payment, which is the receipt the match relies on for service invoices. Service invoices cannot be checked against receipt as reported. Answered by Procurement, Operations and sales and the respondent.	Overbilling, fictitious deliveries or inflated rates are paid. Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid.	FR03, C08, C09, C10
F04 S04	**Stock is stolen and hidden in the counts** Assets, cash and inventory · tier 1 CONTROL RELIES ON A WEAKER PRACTICE	Counts are reported as independent and blind to system quantities, but stock is reported as not formally recorded. Without a stock record there is nothing to compare a count with, so the counts cannot reveal stock hidden in them as reported. Answered by Operations and sales, the respondent and Finance.	The people who hold stock also count it. Counts done by the people who hold the stock can hide its theft.	FR04, C16, C11, C12, C13, C14, C15

REF	SCHEME	WHAT THE ANSWERS SHOW	HOW IT HAPPENS AND WHY IT MATTERS (METHOD)	LINKS
F05 S05	**Risks above tolerance are left without action** Fraud risk assessment · tier 2 CONTROL RELIES ON A WEAKER PRACTICE	Responses are reported for every risk above tolerance, but risks are reported as not rated for likelihood and harm. The method identifies risks above tolerance by comparing ratings with the approved tolerance, so the reported response process has no established way of telling which risks are above it. Answered by Risk and investigations and the respondent.	Assessment results do not change controls, audit work or training.	FR05, C17
F06 S06	**An insider in a high-risk role works unchecked** People, payroll and insider risk · tier 2 CONTROL RELIES ON A WEAKER PRACTICE	Block leave is reported for everyone in a sensitive role, with compliance monitored, but high-risk roles are reported as known informally rather than listed. The requirement can reach only the roles that have been identified. Answered by HR and payroll and the respondent.	Someone who never hands over work conceals an ongoing fraud.	FR06, C18, C19, C20, C21
F07 S07	**Donations or sponsorships channel bribes** Ethics, integrity and anti-corruption · tier 2 CONTROL REPORTED AS A GAP	Recipients checked for links: reported in place only in some areas, cases or periods. Answered by the respondent.	A payment to a cause linked to a decision-maker buys influence.	FR07, C22
F08 S08	**Hours and overtime are inflated** People, payroll and insider risk · tier 2 CONTROL REPORTED AS A GAP	Hours approved by supervisor: reported in place only in some areas, cases or periods. Answered by the respondent.	Unworked hours or overtime are approved and paid.	FR08, C23
F09 S09	**Procurement anomalies are never noticed** Third parties and supply chain · tier 3 CONTROL REPORTED AS A GAP	Senior review of supplier payments: reported in place only in some areas, cases or periods. Supporting practices also reported weaker: split orders monitored (set out, not yet operating), data reviewed for unusual patterns (not in place) and independent review of procurement (partly in place). Answered by Procurement, the respondent and Risk and investigations.	Patterns such as splitting or duplicates go unseen.	FR09, C27, C26, C24, C25
F10 S10	**Losses are never tracked** Assets, cash and inventory · tier 3 CONTROL REPORTED AS A GAP	Losses tracked and reported: reported in place only in some areas, cases or periods. Answered by the respondent.	Shrinkage and losses are written off without analysis.	FR10, C28
F11 S11	**No one is answerable for fraud risk** Fraud governance and accountability · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Executive accountable for fraud: it is written into a named executive's role. Further defences reported weaker: owner has authority across the organisation (not in place), dedicated fraud capability (partly in place), annual fraud action plan (partly in place) and qualified fraud leads (partly in place). Answered by the respondent, Executive and governance and Finance.	Gaps persist because nobody owns fraud risk or has the authority to act. Without a named, accountable person, other controls decay unnoticed.	C29, C30, C31, C32

REF	SCHEME	WHAT THE ANSWERS SHOW	HOW IT HAPPENS AND WHY IT MATTERS (METHOD)	LINKS
F12 S12	**Fraud risks are never identified** Fraud risk assessment · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Fraud risks assessed: in a dedicated fraud risk assessment. Further defences reported weaker: management owns the results (not in place), process owners take part (not in place), risks described as schemes (partly in place) and processes walked through (not in place). Answered by the respondent and Risk and investigations.	Management does not know how fraud could happen in its own processes. Whether risks are understood decides whether controls are aimed at the right schemes.	C35, C36, C33, C34
F13 S13	**Bribes are paid or accepted, directly or through others** Ethics, integrity and anti-corruption · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Bribery prohibited: the rule covers every form of bribery, including through agents, applies to everyone acting for the organisation and is communicated. Further defences reported weaker: high-risk activities identified (partly in place) and leaders trained on their duties (set out, not yet operating). Answered by the respondent and HR and payroll.	Staff or intermediaries offer or accept gratification to win or retain business. PRECCA criminalises bribery in both sectors, including bribes paid through others.	C38, C37
F14 S14	**A fictitious supplier is created and paid** Third parties and supply chain · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	New supplier process: every new supplier goes through a defined process, with set checks and an approval, before it can be paid. Further defences reported weaker: new supplier approved by another person (not in place), directors identified (partly in place), directors compared with staff (not in place), suppliers re-checked (set out, not yet operating) and dormant suppliers deactivated (not in place). Answered by the respondent and Procurement.	An insider or outsider adds a supplier that does not exist and invoices it. Fictitious suppliers enter through onboarding that can be skipped.	C39, C40, C41, C42, C43
F15 S15	**Salaries are redirected through a fake bank change** People, payroll and insider risk · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Bank changes confirmed with employee: every change is confirmed through a channel the organisation starts, such as a call to a number on file or in person, before it takes effect. Further defences reported weaker: bank change report reviewed (partly in place). Answered by the respondent.	A request that appears to come from an employee changes where their salary is paid. Salary redirection through fake bank change requests is common and fast.	C44
F16 S16	**Ghost employees are paid** People, payroll and insider risk · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Payroll reviewed by another person: the review follows a standard checklist, exceptions are followed up and findings are tracked over time. Further defences reported weaker: new employee checked by another person (partly in place), payroll data analysed (set out, not yet operating) and independent review of payroll (partly in place). Answered by HR and payroll and the respondent.	Fictitious or departed people stay on the payroll. A payroll that nobody independent reviews before payment is where ghost employees hide.	C45, C46, C47
F17 S17	**An unauthorised payment leaves the bank** Finance, banking and financial reporting · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Two authorisers for every payment: the bank's platform enforces two authorisers for every payment. Further defences reported weaker: capture and authorise separated (not in place). Answered by the respondent.	One person can release money, on the platform or through a branch instruction. Two-person release enforced where money leaves is the last barrier before a payment goes.	C48

REF	SCHEME	WHAT THE ANSWERS SHOW	HOW IT HAPPENS AND WHY IT MATTERS (METHOD)	LINKS
F18 S18	**Refunds are stolen** Customers, revenue and products · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Refunds approved independently: the system enforces the approval, and approvals are reviewed for patterns. Further defences reported weaker: refunds to the original source (not in place). Answered by the respondent.	One person raises and approves refunds or credit notes to themselves or accomplices. Refunds processed and approved by one person are a classic way to steal.	C49
F19 S19	**Cash takings are stolen** Assets, cash and inventory · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Daily reconciliation: takings at every cash point are reconciled to sales records daily, and every shortage and surplus is investigated. Further defences reported weaker: dual control at hand-overs (partly in place), takings checked against an independent record (partly in place) and deposits reconciled independently (partly in place). Answered by Operations and sales and the respondent.	Takings are under-recorded or removed before banking. Daily reconciliation of takings is the main control over cash theft.	C50, C52, C51
F20 S20	**An email account is taken over** Digital, cyber-enabled and identity fraud · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Multi-factor on all email: multi-factor authentication is required for every email account, including executives' and shared mailboxes, with no exceptions. Further defences reported weaker: mailbox rules and odd logins alerted (not in place). Answered by the respondent.	A mailbox without strong sign-in is used to send or intercept payment instructions. Most business email compromise starts with an account that has no multi-factor authentication.	C53
F21 S21	**Concerns are never reported** Detection, speak-up and response · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	People know whom to tell: all employees know at least two people they can tell, including one outside their reporting line, and that the Protected Disclosures Act protects them. Further defences reported weaker: speak-up channel (partly in place). Answered by the respondent.	People who suspect fraud have no safe route, or do not know whom to tell. Tips are the most common way fraud is detected, and safe routes decide whether people report.	C54
F22 S22	**A reporter is exposed or retaliated against** Detection, speak-up and response · tier 1 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Identities kept confidential: reporters' identities are kept confidential, and access to reports is limited to a few named people. Retaliation prohibited and punished: allegations of retaliation are investigated and acted on, and the outcomes are reported to the board or owners. Further defences reported weaker: retaliation risk assessed (partly in place). Answered by the respondent.	A reporter's identity leaks or they are penalised, and others stop reporting. Confidentiality and protection from retaliation decide whether anyone reports again; reporter confidentiality added after the review's isolated-weakness probe.	C55
F23 S23	**Variations inflate the agreed value** Third parties and supply chain · tier 2 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Variations approved first: reported in place across everything it should cover. Further defences reported weaker: written supplier contracts (partly in place), contract register (not in place) and large variations escalated (set out, not yet operating). Answered by Procurement and the respondent.	Extra scope or rates are approved after the work is done.	C58, C56, C57

REF	SCHEME	WHAT THE ANSWERS SHOW	HOW IT HAPPENS AND WHY IT MATTERS (METHOD)	LINKS
F24 S24	**The assessment goes stale as the business changes** Fraud risk assessment · tier 3 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Updated when the business changes: change projects include a fraud risk step by default, and the assessment owner confirms the update is complete. Further defences reported weaker: assessment documented (partly in place) and owners know their risks (not in place). Answered by the respondent and Risk and investigations.	New products, structures and threats are not assessed.	C59, C60
F25 S25	**Staff do not know or understand what is expected** Ethics, integrity and anti-corruption · tier 3 CONTROL IN PLACE; FURTHER DEFENCES WEAKER	Code accessible to staff: reported in place across everything it should cover. Further defences reported weaker: written code of conduct (not in place), training on joining (set out, not yet operating), programme independently reviewed (not in place) and trends reported upward (not in place). Answered by HR and payroll, the respondent and Legal, compliance and ethics.	Expectations are not communicated in a way people understand, and nobody checks.	C62, C61, C63, C64

APPENDIX B

Fraud risk register

One risk for each open or unresolved scheme. No likelihood, impact, priority or monetary value is assigned: MK has not yet approved a method for rating them.

REF	RISK	CURRENT POSITION	TREATMENT	OWNER	RATING
FR01 F01	**Deepfake instructions, synthetic identities and generated documents are missing from management's view of fraud risk, because the answers about the control that stops it conflict.** These schemes defeat controls that rely on recognising a person or a document.	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it.	C04 Controls tested against AI fakes; C02 Own AI tools in scope; C03 AI methods tested per process; C05 Simulated AI attack; C01 AI-enabled fraud covered	Fraud risk lead	Not rated
FR02 F02	**The investigator is too close to the matter, or conclusions ignore other explanations, because the answers about the control that stops it conflict.**	The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right.	C07 Who investigates; C06 Investigators independent	Investigations lead	Not rated
FR03 F03	**Overbilling, fictitious deliveries or inflated rates are paid, because the control that stops it relies on receipt recorded before payment and services confirmed, reported weaker.** Invoices paid without checking approval and receipt are how overbilling and fictitious deliveries get paid.	Three-way match is reported for every invoice, but receipt of goods is reported as recorded before payment for most deliveries only. The match can check an invoice against receipt only where receipt has been recorded, so it cannot operate for every invoice as reported. For services, the person receiving the service is reported as not confirming delivery before payment, which is the receipt the match relies on for service invoices. Service invoices cannot be checked against receipt as reported.	C08 Approved order before commitment; C09 Receipt recorded before payment; C10 Services confirmed	Finance lead	Not rated
FR04 F04	**The people who hold stock also count it, because the control that stops it relies on how stock is recorded, reported weaker.** Counts done by the people who hold the stock can hide its theft.	Counts are reported as independent and blind to system quantities, but stock is reported as not formally recorded. Without a stock record there is nothing to compare a count with, so the counts cannot reveal stock hidden in them as reported.	C16 How stock is recorded; C11 Store access limited; C12 Issues against approved requests; C13 Custody separated from records; C14 High-value items secured; C15 Differences explained before adjusting	Finance lead	Not rated
FR05 F05	**Assessment results do not change controls, audit work or training, because the control that stops it relies on likelihood and impact rated, reported weaker.**	Responses are reported for every risk above tolerance, but risks are reported as not rated for likelihood and harm. The method identifies risks above tolerance by comparing ratings with the approved tolerance, so the reported response process has no established way of telling which risks are above it.	C17 Likelihood and impact rated	Fraud risk lead	Not rated
FR06 F06	**Someone who never hands over work conceals an ongoing fraud, because the control that stops it relies on high-risk roles identified, reported weaker.**	Block leave is reported for everyone in a sensitive role, with compliance monitored, but high-risk roles are reported as known informally rather than listed. The requirement can reach only the roles that have been identified.	C18 High-risk roles identified; C19 No conflicting duties when covering; C20 Concerns raised fairly; C21 Support for financial pressure	HR and payroll lead	Not rated
FR07 F07	**A payment to a cause linked to a decision-maker buys influence, because recipients checked for links is partly in place.**	Recipients checked for links: reported in place only in some areas, cases or periods.	C22 Recipients checked for links	Ethics lead	Not rated

REF	RISK	CURRENT POSITION	TREATMENT	OWNER	RATING
FR08 F08	**Unworked hours or overtime are approved and paid, because hours approved by supervisor is partly in place.**	Hours approved by supervisor: reported in place only in some areas, cases or periods.	C23 Hours approved by supervisor	HR and payroll lead	Not rated
FR09 F09	**Patterns such as splitting or duplicates go unseen, because senior review of supplier payments is partly in place.**	Senior review of supplier payments: reported in place only in some areas, cases or periods.	C27 Senior review of supplier payments; C26 Split orders monitored; C24 Data reviewed for unusual patterns; C25 Independent review of procurement	Finance lead	Not rated
FR10 F10	**Shrinkage and losses are written off without analysis, because losses tracked and reported is partly in place.**	Losses tracked and reported: reported in place only in some areas, cases or periods.	C28 Losses tracked and reported	Finance lead	Not rated

APPENDIX C

Control blueprint register

Each control once, with every scheme it serves. The target standard and improving level are the draft method's own wording; "Reported today" is what the organisation answered. Where the method is not specific enough to say more, the row says so with the codes below rather than adding detail the method does not contain.

METHOD DETAIL CODES

- L The method describes this control only by its in-place answer; it has no level descriptions of what partial or full operation looks like.
- R The method names no records management should keep for this control.
- C The method does not say when or how often this control operates.
- I The method describes no level beyond in place for this control.

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C01 Resolve the answers S01	**AI-enabled fraud covered** AI-enabled schemes, including deepfake instructions, synthetic identities and generated documents, are assessed for every relevant process. Answered by the respondent.	AI-enabled schemes, including deepfake instructions, synthetic identities and generated documents, are assessed for every relevant process. Improving level: AI threats are reviewed as new techniques appear, and the assessment is updated between full reviews.	• Establish which answer is correct. The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it. • Agree the design with the fraud risk lead, so that it meets the target standard at level 4. • Keep the records in E01. • Review the first full cycle against M01.	Fraud risk lead E01, M01 Cycle: As the standard and question state
C02 Strengthen S01	**Own AI tools in scope** Own AI tools in scope: reported in place only in some areas, cases or periods. Answered by Risk and investigations.	Own AI tools in scope: in place across everything it should cover. Method detail: L R C	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M02.	Fraud risk lead M02 Cycle: Not stated by the method
C03 Resolve the answers S01	**AI methods tested per process** AI methods tested per process: reported as not in place. Answered by the respondent.	AI methods tested per process: in place across everything it should cover. Method detail: L R	• Establish which answer is correct. The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it. • Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M03.	Fraud risk lead M03 Cycle: As the standard and question state
C04 Strengthen S01	**Controls tested against AI fakes** Controls tested against AI fakes: reported as not in place. Answered by Risk and investigations.	Controls tested against AI fakes: in place across everything it should cover. Method detail: L R C	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M04.	Fraud risk lead M04 Cycle: Not stated by the method
C05 Strengthen S01	**Simulated AI attack** Simulated AI attack: partly in place. Answered by Risk and investigations.	Simulated AI attack: in place. Method detail: L R C	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M05.	Fraud risk lead M05 Cycle: Not stated by the method

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C06 Resolve the answers S02	**Investigators independent** Every investigation is done by people independent of the area and the people being investigated, and conflicts are declared. Answered by the respondent.	Every investigation is done by people independent of the area and the people being investigated, and conflicts are declared. Improving level: Independence is confirmed at the start of every case and reviewed by the board or committee for sensitive cases.	• Establish which answer is correct. The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right. • Agree the design with the investigations lead, so that it meets the target standard at level 4. • Keep the records in E02. • Review the first full cycle against M06.	Investigations lead E02, M06 Cycle: As the standard and question state
C07 Resolve the answers S02	**Who investigates** Who investigates: line management or HR. Answered by the respondent.	Who investigates: the organisation's own forensic or investigation team or an external forensic firm, brought in when needed. Method detail: L R C	• Establish which answer is correct. The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right. • Agree the design with the investigations lead, so that it meets the target standard. • Review the first full cycle against M07.	Investigations lead M07 Cycle: Not stated by the method
C08 Strengthen S03	**Approved order before commitment** Most purchases are approved before commitment, through a purchase order or another record. Answered by Procurement.	Every purchase is approved by someone with the authority to do so before the organisation commits, and the approval is recorded. Improving level: The system prevents commitment without approval, and purchases made without one are reported and followed up.	• Agree the design with the procurement lead, so that it meets the target standard at level 4. • Keep the records in E03. • Review the first full cycle against M08.	Procurement lead E03, M08 Cycle: As the standard and question state
C09 Put in place S03	**Receipt recorded before payment** Receipt is recorded for most deliveries, but not always before payment. Answered by Operations and sales.	Receipt is always recorded before the related invoice is paid. Improving level: The system will not pay without a receipt record, and gaps are reported.	• Agree the design with the operations lead, so that it meets the target standard at level 4. • Keep the records in E04. • Review the first full cycle against M09.	Operations lead E04, M09 Cycle: As the standard and question state
C10 Put in place S03	**Services confirmed** Services confirmed: reported as not in place. Answered by Operations and sales.	Services confirmed: in place across everything it should cover. Method detail: L R	• Agree the design with the operations lead, so that it meets the target standard. • Review the first full cycle against M10.	Operations lead M10 Cycle: As the standard and question state
C11 Strengthen S04	**Store access limited** Store access limited: reported as not in place. Answered by Operations and sales.	Store access limited: in place across everything it should cover. Method detail: L R C	• Agree the design with the operations lead, so that it meets the target standard. • Review the first full cycle against M11.	Operations lead M11 Cycle: Not stated by the method
C12 Strengthen S04	**Issues against approved requests** Issues against approved requests: reported as not in place. Answered by Operations and sales.	Issues against approved requests: in place across everything it should cover. Method detail: L R	• Agree the design with the operations lead, so that it meets the target standard. • Review the first full cycle against M12.	Operations lead M12 Cycle: As the standard and question state

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C13 Strengthen S04	**Custody separated from records** Duties are separated on paper, but storekeepers can still change the records. Answered by Operations and sales.	At every store, the people who keep stock records are different from those who hold the stock, and system access enforces this. Improving level: Access is reviewed regularly, and any overlap is removed or covered by an independent review.	• Agree the design with the operations lead, so that it meets the target standard at level 4. • Keep the records in E05. • Review the first full cycle against M13.	Operations lead E05, M13 Cycle: As the standard and question state
C14 Strengthen S04	**High-value items secured** High-value items secured: reported as set out or agreed but not yet working in practice. Answered by Operations and sales.	High-value items secured: in place across everything it should cover. Method detail: L R C	• Agree the design with the operations lead, so that it meets the target standard. • Review the first full cycle against M14.	Operations lead M14 Cycle: Not stated by the method
C15 Strengthen S04	**Differences explained before adjusting** Differences explained before adjusting: reported as not in place. Answered by Finance.	Differences explained before adjusting: in place across everything it should cover. Method detail: L R	• Agree the design with the finance lead, so that it meets the target standard. • Review the first full cycle against M15.	Finance lead M15 Cycle: As the standard and question state
C16 Put in place S04	**How stock is recorded** How stock is recorded: it is not formally recorded. Answered by Operations and sales.	How stock is recorded: in an inventory or ERP system or in spreadsheets or manual records. Method detail: L R C	• Agree the design with the operations lead, so that it meets the target standard. • Review the first full cycle against M16.	Operations lead M16 Cycle: Not stated by the method
C17 Put in place S05	**Likelihood and impact rated** Likelihood and impact rated: reported as not in place. Answered by Risk and investigations.	Likelihood and impact rated: in place across everything it should cover. Method detail: L R	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M17.	Fraud risk lead M17 Cycle: As the standard and question state
C18 Put in place S06	**High-risk roles identified** Managers know informally which roles are risky. Answered by HR and payroll.	A maintained list of high-risk roles covers the whole organisation, including roles that can move money, change master data or manage system access. Improving level: The list is reviewed when roles change, and it drives screening, access and monitoring. Method detail: C	• Agree the design with the HR and payroll lead, so that it meets the target standard at level 4. • Keep the records in E06. • Review the first full cycle against M18.	HR and payroll lead E06, M18 Cycle: Not stated by the method
C19 Strengthen S06	**No conflicting duties when covering** No conflicting duties when covering: reported as set out or agreed but not yet working in practice. Answered by HR and payroll.	No conflicting duties when covering: in place across everything it should cover. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M19.	HR and payroll lead M19 Cycle: Not stated by the method
C20 Strengthen S06	**Concerns raised fairly** Concerns raised fairly: reported as not in place. Answered by HR and payroll.	Concerns raised fairly: in place across everything it should cover. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M20.	HR and payroll lead M20 Cycle: Not stated by the method
C21 Strengthen S06	**Support for financial pressure** Support for financial pressure: reported as not in place. Answered by HR and payroll.	Support for financial pressure: in place across everything it should cover. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M21.	HR and payroll lead M21 Cycle: Not stated by the method
C22 Put in place S07	**Recipients checked for links** Recipients checked for links: reported in place only in some areas, cases or periods. Answered by the respondent.	Recipients checked for links: in place across everything it should cover. Method detail: L R	• Agree the design with the ethics lead, so that it meets the target standard. • Review the first full cycle against M22.	Ethics lead M22 Cycle: As the standard and question state

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C23 Put in place S08	**Hours approved by supervisor** Hours approved by supervisor: reported in place only in some areas, cases or periods. Answered by the respondent.	Hours approved by supervisor: in place across everything it should cover. Method detail: L R	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M23.	HR and payroll lead M23 Cycle: As the standard and question state
C24 Strengthen S09	**Data reviewed for unusual patterns** Data reviewed for unusual patterns: reported as not in place. Answered by Risk and investigations.	Data reviewed for unusual patterns: in place across everything it should cover. Method detail: L R C	• Agree the design with the internal audit, so that it meets the target standard. • Review the first full cycle against M24.	Internal audit M24 Cycle: Not stated by the method
C25 Strengthen S09	**Independent review of procurement** Independent review of procurement: partly in place. Answered by Risk and investigations.	Independent review of procurement: in place. Method detail: L R C	• Agree the design with the internal audit, so that it meets the target standard. • Review the first full cycle against M25.	Internal audit M25 Cycle: Not stated by the method
C26 Strengthen S09	**Split orders monitored** Split orders monitored: reported as set out or agreed but not yet working in practice. Answered by Procurement.	Split orders monitored: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M26.	Procurement lead M26 Cycle: Not stated by the method
C27 Put in place S09	**Senior review of supplier payments** Senior review of supplier payments: reported in place only in some areas, cases or periods. Answered by the respondent.	Senior review of supplier payments: in place across everything it should cover. Method detail: L R	• Agree the design with the finance lead, so that it meets the target standard. • Review the first full cycle against M27.	Finance lead M27 Cycle: Not stated by the method
C28 Put in place S10	**Losses tracked and reported** Losses tracked and reported: reported in place only in some areas, cases or periods. Answered by the respondent.	Losses tracked and reported: in place across everything it should cover. Method detail: L R C	• Agree the design with the finance lead, so that it meets the target standard. • Review the first full cycle against M28.	Finance lead M28 Cycle: Not stated by the method
C29 Strengthen S11	**Owner has authority across the organisation** Owner has authority across the organisation: reported as not in place. Answered by the respondent.	Owner has authority across the organisation: in place across everything it should cover. Method detail: L R C	• Agree the design with the chief executive, so that it meets the target standard. • Review the first full cycle against M29.	Chief executive M29 Cycle: Not stated by the method
C30 Strengthen S11	**Dedicated fraud capability** Dedicated fraud capability: reported in place only in some areas, cases or periods. Answered by Executive and governance.	Dedicated fraud capability: in place across everything it should cover. Method detail: L R C	• Agree the design with the chief executive, so that it meets the target standard. • Review the first full cycle against M30.	Chief executive M30 Cycle: Not stated by the method
C31 Strengthen S11	**Annual fraud action plan** Annual fraud action plan: reported in place only in some areas, cases or periods. Answered by Finance.	Annual fraud action plan: in place across everything it should cover. Method detail: L R	• Agree the design with the chief financial officer, so that it meets the target standard. • Review the first full cycle against M31.	Chief financial officer M31 Cycle: As the standard and question state
C32 Strengthen S11	**Qualified fraud leads** Qualified fraud leads: reported in place only in some areas, cases or periods. Answered by Finance.	Qualified fraud leads: in place across everything it should cover. Method detail: L R C	• Agree the design with the chief financial officer, so that it meets the target standard. • Review the first full cycle against M32.	Chief financial officer M32 Cycle: Not stated by the method
C33 Strengthen S12	**Risks described as schemes** Some risks describe a scheme, but most remain general. Answered by Risk and investigations.	Every risk is described as a specific scheme, with the perpetrator, the method and the process it affects. Improving level: Scheme descriptions are tested against real cases and refined at each update.	• Agree the design with the fraud risk lead, so that it meets the target standard at level 4. • Keep the records in E07. • Review the first full cycle against M33.	Fraud risk lead E07, M33 Cycle: As the standard and question state

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C34 Strengthen S12	**Processes walked through** Processes walked through: reported as not in place. Answered by Risk and investigations.	Processes walked through: in place across everything it should cover. Method detail: L R	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M34.	Fraud risk lead M34 Cycle: As the standard and question state
C35 Strengthen S12	**Management owns the results** Management has not seen or accepted the results. Answered by Risk and investigations.	Management formally accepts the results, and every significant risk has a named owner who has agreed to it. Improving level: Risk owners report on their risks during the year, and management acts when risks change.	• Agree the design with the fraud risk lead, so that it meets the target standard at level 4. • Keep the records in E08. • Review the first full cycle against M35.	Fraud risk lead E08, M35 Cycle: As the standard and question state
C36 Strengthen S12	**Process owners take part** Process owners take part: reported as not in place. Answered by Risk and investigations.	Process owners take part: in place across everything it should cover. Method detail: L R C	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M36.	Fraud risk lead M36 Cycle: Not stated by the method
C37 Strengthen S13	**Leaders trained on their duties** Leaders trained on their duties: reported as set out or agreed but not yet working in practice. Answered by HR and payroll.	Leaders trained on their duties: in place across everything it should cover. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M37.	HR and payroll lead M37 Cycle: Not stated by the method
C38 Strengthen S13	**High-risk activities identified** The main high-risk activities are identified, and some have extra controls. Answered by the respondent.	All high-risk activities, such as winning work, licences, customs and inspections, are identified and have specific extra controls. Improving level: The list and the controls are reviewed against cases and changes in the business. Method detail: C	• Agree the design with the legal and compliance lead, so that it meets the target standard at level 4. • Keep the records in E09. • Review the first full cycle against M38.	Legal and compliance lead E09, M38 Cycle: Not stated by the method
C39 Strengthen S14	**New supplier approved by another person** New supplier approved by another person: reported as not in place. Answered by the respondent.	New supplier approved by another person: in place across everything it should cover. Method detail: L R	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M39.	Procurement lead M39 Cycle: As the standard and question state
C40 Strengthen S14	**Directors identified** Owners are identified only when something raises a concern. Answered by Procurement.	Directors and owners, including those behind holding companies, are identified for every new supplier from an independent source. Improving level: Ownership is refreshed periodically and when warning signs appear, and changes are reviewed.	• Agree the design with the procurement lead, so that it meets the target standard at level 4. • Keep the records in E10. • Review the first full cycle against M40.	Procurement lead E10, M40 Cycle: As the standard and question state
C41 Strengthen S14	**Directors compared with staff** Directors compared with staff: reported as not in place. Answered by Procurement.	Directors compared with staff: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M41.	Procurement lead M41 Cycle: Not stated by the method
C42 Strengthen S14	**Suppliers re-checked** Suppliers re-checked: reported as set out or agreed but not yet working in practice. Answered by Procurement.	Suppliers re-checked: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M42.	Procurement lead M42 Cycle: Not stated by the method
C43 Strengthen S14	**Dormant suppliers deactivated** Dormant suppliers deactivated: reported as not in place. Answered by Procurement.	Dormant suppliers deactivated: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M43.	Procurement lead M43 Cycle: Not stated by the method

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C44 Strengthen S15	**Bank change report reviewed** Bank change report reviewed: reported in place only in some areas, cases or periods. Answered by the respondent.	Bank change report reviewed: in place across everything it should cover. Method detail: L R	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M44.	HR and payroll lead M44 Cycle: As the standard and question state
C45 Strengthen S16	**New employee checked by another person** The person who captures the record checks it themselves. Answered by HR and payroll.	Every new record is checked against a signed appointment by someone other than the person who captured it, before the first pay run. Improving level: The check is evidenced in the system, and any record without an approved appointment is reported.	• Agree the design with the HR and payroll lead, so that it meets the target standard at level 4. • Keep the records in E11. • Review the first full cycle against M45.	HR and payroll lead E11, M45 Cycle: As the standard and question state
C46 Strengthen S16	**Payroll data analysed** Payroll data analysed: reported as set out or agreed but not yet working in practice. Answered by HR and payroll.	Payroll data analysed: in place across everything it should cover. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M46.	HR and payroll lead M46 Cycle: Not stated by the method
C47 Strengthen S16	**Independent review of payroll** Independent review of payroll: partly in place. Answered by HR and payroll.	Independent review of payroll: in place. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M47.	HR and payroll lead M47 Cycle: Not stated by the method
C48 Strengthen S17	**Capture and authorise separated** Users can capture payments, load beneficiaries and authorise. Answered by the respondent.	Platform roles ensure that no one who captures payments or loads beneficiaries can authorise them. Improving level: Role settings are reviewed regularly, and any conflict is removed and reported. Method detail: C	• Agree the design with the finance lead, so that it meets the target standard at level 4. • Keep the records in E12. • Review the first full cycle against M48.	Finance lead E12, M48 Cycle: Not stated by the method
C49 Strengthen S18	**Refunds to the original source** Refunds are paid wherever the customer asks. Answered by the respondent.	Every refund goes to the original payment method or to a customer account verified before payment. Improving level: Exceptions are approved and reviewed, and refunds to changed accounts are monitored.	• Agree the design with the commercial and customer lead, so that it meets the target standard at level 4. • Keep the records in E13. • Review the first full cycle against M49.	Commercial and customer lead E13, M49 Cycle: As the standard and question state
C50 Strengthen S19	**Dual control at hand-overs** Cash is counted at some handovers, such as at the end of the day, but not at shift changes. Answered by Operations and sales.	Whenever cash changes hands, two people count it, record it and sign for it. Improving level: Count records are reviewed against takings, and any handover without two signatures is followed up.	• Agree the design with the operations lead, so that it meets the target standard at level 4. • Keep the records in E14. • Review the first full cycle against M50.	Operations lead E14, M50 Cycle: As the standard and question state
C51 Strengthen S19	**Deposits reconciled independently** Deposits are checked against the statement occasionally. Answered by Operations and sales.	Every deposit and collection is reconciled to the bank statement by someone who does not handle the cash, using statements obtained directly from the bank. Improving level: Delays and differences are investigated, and a deposit slip is never accepted as proof without the bank record.	• Agree the design with the operations lead, so that it meets the target standard at level 4. • Keep the records in E15. • Review the first full cycle against M51.	Operations lead E15, M51 Cycle: As the standard and question state
C52 Strengthen S19	**Takings checked against an independent record** Takings checked against an independent record: reported in place only in some areas, cases or periods. Answered by the respondent.	Takings checked against an independent record: in place across everything it should cover. Method detail: L R C	• Agree the design with the operations lead, so that it meets the target standard. • Review the first full cycle against M52.	Operations lead M52 Cycle: Not stated by the method

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C53 Strengthen S20	**Mailbox rules and odd logins alerted** Mailbox rules and odd logins alerted: reported as not in place. Answered by the respondent.	Mailbox rules and odd logins alerted: in place across everything it should cover. Method detail: L R C	• Agree the design with the IT lead, so that it meets the target standard. • Review the first full cycle against M53.	IT lead M53 Cycle: Not stated by the method
C54 Strengthen S21	**Speak-up channel** Speak-up channel: only informally, such as telling a manager. Answered by the respondent.	Speak-up channel: run by an independent provider or run internally. Method detail: L R C	• Agree the design with the investigations lead, so that it meets the target standard. • Review the first full cycle against M54.	Investigations lead M54 Cycle: Not stated by the method
C55 Strengthen S22	**Retaliation risk assessed** Retaliation risk assessed: reported in place only in some areas, cases or periods. Answered by the respondent.	Retaliation risk assessed: in place across everything it should cover. Method detail: L R C	• Agree the design with the ethics lead, so that it meets the target standard. • Review the first full cycle against M55.	Ethics lead M55 Cycle: Not stated by the method
C56 Strengthen S23	**Contract register** Contract register: reported as not in place. Answered by Procurement.	Contract register: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M56.	Procurement lead M56 Cycle: Not stated by the method
C57 Strengthen S23	**Large variations escalated** Large variations escalated: reported as set out or agreed but not yet working in practice. Answered by Procurement.	Large variations escalated: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M57.	Procurement lead M57 Cycle: Not stated by the method
C58 Strengthen S23	**Written supplier contracts** Written supplier contracts: reported in place only in some areas, cases or periods. Answered by Procurement.	Written supplier contracts: in place across everything it should cover. Method detail: L R C	• Agree the design with the procurement lead, so that it meets the target standard. • Review the first full cycle against M58.	Procurement lead M58 Cycle: Not stated by the method
C59 Strengthen S24	**Assessment documented** Assessment documented: reported in place only in some areas, cases or periods. Answered by Risk and investigations.	Assessment documented: in place across everything it should cover. Method detail: L R C	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M59.	Fraud risk lead M59 Cycle: Not stated by the method
C60 Strengthen S24	**Owners know their risks** Owners know their risks: reported as not in place. Answered by Risk and investigations.	Owners know their risks: in place across everything it should cover. Method detail: L R	• Agree the design with the fraud risk lead, so that it meets the target standard. • Review the first full cycle against M60.	Fraud risk lead M60 Cycle: As the standard and question state
C61 Strengthen S25	**Training on joining** Training on joining: reported as set out or agreed but not yet working in practice. Answered by HR and payroll.	Training on joining: in place across everything it should cover. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M61.	HR and payroll lead M61 Cycle: Not stated by the method
C62 Strengthen S25	**Written code of conduct** Written code of conduct: not in place. Answered by HR and payroll.	Written code of conduct: approved by the board, council or owners. Method detail: L R C	• Agree the design with the HR and payroll lead, so that it meets the target standard. • Review the first full cycle against M62.	HR and payroll lead M62 Cycle: Not stated by the method
C63 Strengthen S25	**Programme independently reviewed** Programme independently reviewed: reported as not in place. Answered by Legal, compliance and ethics.	Programme independently reviewed: in place across everything it should cover. Method detail: L R C	• Agree the design with the ethics lead, so that it meets the target standard. • Review the first full cycle against M63.	Ethics lead M63 Cycle: Not stated by the method

REF	CONTROL AND REPORTED TODAY	TARGET STANDARD (METHOD)	ACTIVITIES	OWNER, RECORDS, MEASURE
C64 Strengthen S25	**Trends reported upward** Trends reported upward: reported as not in place. Answered by Legal, compliance and ethics.	Trends reported upward: in place across everything it should cover. Method detail: L R C	• Agree the design with the ethics lead, so that it meets the target standard. • Review the first full cycle against M64.	Ethics lead M64 Cycle: Not stated by the method

APPENDIX D

Records management should maintain

The records the method names for each control, for management to keep as the control operates. MK has not requested, received or examined any of them. Independent review of evidence is a separate Advisory service; this report does not perform it.

REF	RECORD	CONTROLS	KEPT BY
E01	Register entries for AI-enabled schemes, the processes they apply to and the date they were last reviewed.	C01	Fraud risk lead
E02	Independence declarations in case files, the investigator assignment record.	C06	Investigations lead
E03	Purchase orders or approval records dated before the invoice, for a sample of recent purchases.	C08	Procurement lead
E04	Goods received notes, the receiving system, a sample matched to payments.	C09	Operations lead
E05	Organisation charts for the stores, system access lists for stock records.	C13	Operations lead
E06	The list of high-risk roles and the date it was last reviewed.	C18	HR and payroll lead
E07	The fraud risk register, with scheme descriptions for a sample of processes.	C33	Fraud risk lead
E08	Minutes of the meeting that accepted the assessment, the register showing risk owners, executive sign-off.	C35	Fraud risk lead
E09	The bribery risk assessment, the list of high-risk activities and the controls applied to them.	C38	Legal and compliance lead
E10	CIPC search results on file, the onboarding form, a sample of supplier records.	C40	Procurement lead
E11	New starter records with the signed appointment and the checker's sign-off.	C45	HR and payroll lead
E12	The platform user and role report, the last role review.	C48	Finance lead
E13	Refund records showing the payment method used, approved exceptions.	C49	Commercial and customer lead
E14	Signed cash count and handover sheets for a sample of days.	C50	Operations lead
E15	Deposit reconciliations, bank statements obtained directly, who prepared each reconciliation.	C51	Operations lead

49 controls have no record named by the method; Appendix C marks them.

APPENDIX E

Action register

Every action in the programme, by phase. Phases follow what must be known and decided first; no dates are set.

REF	PHASE	ACTION	OWNER	DELIVERABLE	COMPLETE WHEN
A01	1. Establish the facts	Establish which answer is right for AI-enabled schemes are not considered: AI-enabled fraud covered and AI methods tested per process.	Fraud risk lead	A corrected answer, or a recorded decision to put the missing practice in place.	The answers for this scheme agree with each other and with how the process runs.
A02	1. Establish the facts	Establish which answer is right for an investigation is not independent or fair: investigators independent and who investigates.	Investigations lead	A corrected answer, or a recorded decision to put the missing practice in place.	The answers for this scheme agree with each other and with how the process runs.
A03	1. Establish the facts	Confirm how three-way match operates while receipt recorded before payment and services confirmed are reported weaker.	Finance lead	A corrected answer, or a recorded decision to put the missing practice in place.	The answers for this scheme agree with each other and with how the process runs.
A04	1. Establish the facts	Confirm how independent blind counts operates while how stock is recorded is reported weaker.	Finance lead	A corrected answer, or a recorded decision to put the missing practice in place.	The answers for this scheme agree with each other and with how the process runs.
A05	1. Establish the facts	Confirm how response decided operates while likelihood and impact rated is reported weaker.	Fraud risk lead	A corrected answer, or a recorded decision to put the missing practice in place.	The answers for this scheme agree with each other and with how the process runs.
A06	1. Establish the facts	Confirm how block leave required operates while high-risk roles identified is reported weaker.	HR and payroll lead	A corrected answer, or a recorded decision to put the missing practice in place.	The answers for this scheme agree with each other and with how the process runs.
A07	2. Decide and assign	Name the executive accountable for fraud risk assessment, where 2 schemes are open or unresolved.	Chief executive	A named accountable executive for the area.	The area has one named executive who has accepted the role.
A08	2. Decide and assign	Name the executive accountable for ethics, where 1 scheme is open or unresolved.	Chief executive	A named accountable executive for the area.	The area has one named executive who has accepted the role.
A09	2. Decide and assign	Name the executive accountable for procurement, where 2 schemes are open or unresolved.	Chief executive	A named accountable executive for the area.	The area has one named executive who has accepted the role.
A10	2. Decide and assign	Name the executive accountable for people, where 2 schemes are open or unresolved.	Chief executive	A named accountable executive for the area.	The area has one named executive who has accepted the role.
A11	2. Decide and assign	Name the executive accountable for assets, where 2 schemes are open or unresolved.	Chief executive	A named accountable executive for the area.	The area has one named executive who has accepted the role.
A12	2. Decide and assign	Name the executive accountable for detection, where 1 scheme is open or unresolved.	Chief executive	A named accountable executive for the area.	The area has one named executive who has accepted the role.
A13	2. Decide and assign	Decide which of the 4 schemes with a control reported as a gap to address in this cycle, and in what order.	Chief executive	A recorded selection and order, with the reason for each choice.	Every open scheme is either selected, deferred with a reason, or accepted as a risk at the right level.
A14	2. Decide and assign	Approve the target designs for the selected schemes, using the method standards in the control register.	Chief executive	Approved designs, each with an owner and the records it will keep.	Each selected control has an approved design and an owner.
A15	3. Put prerequisites in place	Put in place: receipt recorded before payment (C09), relied on by Three-way match.	Operations lead	C09 operating, keeping the records in E04.	M09 met for one full cycle.

REF	PHASE	ACTION	OWNER	DELIVERABLE	COMPLETE WHEN
A16	3. Put prerequisites in place	Put in place: services confirmed (C10), relied on by Three-way match.	Operations lead	C10 operating, with a record of each case it covers.	M10 met for one full cycle.
A17	3. Put prerequisites in place	Put in place: how stock is recorded (C16), relied on by Independent blind counts.	Operations lead	C16 operating, with a record of each case it covers.	M16 met for one full cycle.
A18	3. Put prerequisites in place	Put in place: likelihood and impact rated (C17), relied on by Response decided.	Fraud risk lead	C17 operating, with a record of each case it covers.	M17 met for one full cycle.
A19	3. Put prerequisites in place	Put in place: high-risk roles identified (C18), relied on by Block leave required.	HR and payroll lead	C18 operating, keeping the records in E06.	M18 met for one full cycle.
A20	4. Put the remaining controls in place	Put in place: recipients checked for links (C22).	Ethics lead	C22 operating, with a record of each case it covers.	M22 met for one full cycle.
A21	4. Put the remaining controls in place	Put in place: hours approved by supervisor (C23).	HR and payroll lead	C23 operating, with a record of each case it covers.	M23 met for one full cycle.
A22	4. Put the remaining controls in place	Put in place: senior review of supplier payments (C27).	Finance lead	C27 operating, with a record of each case it covers.	M27 met for one full cycle.
A23	4. Put the remaining controls in place	Put in place: losses tracked and reported (C28).	Finance lead	C28 operating, with a record of each case it covers.	M28 met for one full cycle.
A24	5. Strengthen further defences	Strengthen: own AI tools in scope (C02).	Fraud risk lead	C02 operating, with a record of each case it covers.	M02 met for one full cycle.
A25	5. Strengthen further defences	Strengthen: controls tested against AI fakes (C04).	Fraud risk lead	C04 operating, with a record of each case it covers.	M04 met for one full cycle.
A26	5. Strengthen further defences	Strengthen: simulated AI attack (C05).	Fraud risk lead	C05 operating, with a record of each case it covers.	M05 met for one full cycle.
A27	5. Strengthen further defences	Strengthen: approved order before commitment (C08).	Procurement lead	C08 operating, keeping the records in E03.	M08 met for one full cycle.
A28	5. Strengthen further defences	Strengthen: store access limited (C11).	Operations lead	C11 operating, with a record of each case it covers.	M11 met for one full cycle.
A29	5. Strengthen further defences	Strengthen: issues against approved requests (C12).	Operations lead	C12 operating, with a record of each case it covers.	M12 met for one full cycle.
A30	5. Strengthen further defences	Strengthen: custody separated from records (C13).	Operations lead	C13 operating, keeping the records in E05.	M13 met for one full cycle.
A31	5. Strengthen further defences	Strengthen: high-value items secured (C14).	Operations lead	C14 operating, with a record of each case it covers.	M14 met for one full cycle.
A32	5. Strengthen further defences	Strengthen: differences explained before adjusting (C15).	Finance lead	C15 operating, with a record of each case it covers.	M15 met for one full cycle.
A33	5. Strengthen further defences	Strengthen: no conflicting duties when covering (C19).	HR and payroll lead	C19 operating, with a record of each case it covers.	M19 met for one full cycle.
A34	5. Strengthen further defences	Strengthen: concerns raised fairly (C20).	HR and payroll lead	C20 operating, with a record of each case it covers.	M20 met for one full cycle.
A35	5. Strengthen further defences	Strengthen: support for financial pressure (C21).	HR and payroll lead	C21 operating, with a record of each case it covers.	M21 met for one full cycle.

REF	PHASE	ACTION	OWNER	DELIVERABLE	COMPLETE WHEN
A36	5. Strengthen further defences	Strengthen: data reviewed for unusual patterns (C24).	Internal audit	C24 operating, with a record of each case it covers.	M24 met for one full cycle.
A37	5. Strengthen further defences	Strengthen: independent review of procurement (C25).	Internal audit	C25 operating, with a record of each case it covers.	M25 met for one full cycle.
A38	5. Strengthen further defences	Strengthen: split orders monitored (C26).	Procurement lead	C26 operating, with a record of each case it covers.	M26 met for one full cycle.
A39	5. Strengthen further defences	Strengthen: owner has authority across the organisation (C29).	Chief executive	C29 operating, with a record of each case it covers.	M29 met for one full cycle.
A40	5. Strengthen further defences	Strengthen: dedicated fraud capability (C30).	Chief executive	C30 operating, with a record of each case it covers.	M30 met for one full cycle.
A41	5. Strengthen further defences	Strengthen: annual fraud action plan (C31).	Chief financial officer	C31 operating, with a record of each case it covers.	M31 met for one full cycle.
A42	5. Strengthen further defences	Strengthen: qualified fraud leads (C32).	Chief financial officer	C32 operating, with a record of each case it covers.	M32 met for one full cycle.
A43	5. Strengthen further defences	Strengthen: risks described as schemes (C33).	Fraud risk lead	C33 operating, keeping the records in E07.	M33 met for one full cycle.
A44	5. Strengthen further defences	Strengthen: processes walked through (C34).	Fraud risk lead	C34 operating, with a record of each case it covers.	M34 met for one full cycle.
A45	5. Strengthen further defences	Strengthen: management owns the results (C35).	Fraud risk lead	C35 operating, keeping the records in E08.	M35 met for one full cycle.
A46	5. Strengthen further defences	Strengthen: process owners take part (C36).	Fraud risk lead	C36 operating, with a record of each case it covers.	M36 met for one full cycle.
A47	5. Strengthen further defences	Strengthen: leaders trained on their duties (C37).	HR and payroll lead	C37 operating, with a record of each case it covers.	M37 met for one full cycle.
A48	5. Strengthen further defences	Strengthen: high-risk activities identified (C38).	Legal and compliance lead	C38 operating, keeping the records in E09.	M38 met for one full cycle.
A49	5. Strengthen further defences	Strengthen: new supplier approved by another person (C39).	Procurement lead	C39 operating, with a record of each case it covers.	M39 met for one full cycle.
A50	5. Strengthen further defences	Strengthen: directors identified (C40).	Procurement lead	C40 operating, keeping the records in E10.	M40 met for one full cycle.
A51	5. Strengthen further defences	Strengthen: directors compared with staff (C41).	Procurement lead	C41 operating, with a record of each case it covers.	M41 met for one full cycle.
A52	5. Strengthen further defences	Strengthen: suppliers re-checked (C42).	Procurement lead	C42 operating, with a record of each case it covers.	M42 met for one full cycle.
A53	5. Strengthen further defences	Strengthen: dormant suppliers deactivated (C43).	Procurement lead	C43 operating, with a record of each case it covers.	M43 met for one full cycle.
A54	5. Strengthen further defences	Strengthen: bank change report reviewed (C44).	HR and payroll lead	C44 operating, with a record of each case it covers.	M44 met for one full cycle.
A55	5. Strengthen further defences	Strengthen: new employee checked by another person (C45).	HR and payroll lead	C45 operating, keeping the records in E11.	M45 met for one full cycle.
A56	5. Strengthen further defences	Strengthen: payroll data analysed (C46).	HR and payroll lead	C46 operating, with a record of each case it covers.	M46 met for one full cycle.

REF	PHASE	ACTION	OWNER	DELIVERABLE	COMPLETE WHEN
A57	5. Strengthen further defences	Strengthen: independent review of payroll (C47).	HR and payroll lead	C47 operating, with a record of each case it covers.	M47 met for one full cycle.
A58	5. Strengthen further defences	Strengthen: capture and authorise separated (C48).	Finance lead	C48 operating, keeping the records in E12.	M48 met for one full cycle.
A59	5. Strengthen further defences	Strengthen: refunds to the original source (C49).	Commercial and customer lead	C49 operating, keeping the records in E13.	M49 met for one full cycle.
A60	5. Strengthen further defences	Strengthen: dual control at hand-overs (C50).	Operations lead	C50 operating, keeping the records in E14.	M50 met for one full cycle.
A61	5. Strengthen further defences	Strengthen: deposits reconciled independently (C51).	Operations lead	C51 operating, keeping the records in E15.	M51 met for one full cycle.
A62	5. Strengthen further defences	Strengthen: takings checked against an independent record (C52).	Operations lead	C52 operating, with a record of each case it covers.	M52 met for one full cycle.
A63	5. Strengthen further defences	Strengthen: mailbox rules and odd logins alerted (C53).	IT lead	C53 operating, with a record of each case it covers.	M53 met for one full cycle.
A64	5. Strengthen further defences	Strengthen: speak-up channel (C54).	Investigations lead	C54 operating, with a record of each case it covers.	M54 met for one full cycle.
A65	5. Strengthen further defences	Strengthen: retaliation risk assessed (C55).	Ethics lead	C55 operating, with a record of each case it covers.	M55 met for one full cycle.
A66	5. Strengthen further defences	Strengthen: contract register (C56).	Procurement lead	C56 operating, with a record of each case it covers.	M56 met for one full cycle.
A67	5. Strengthen further defences	Strengthen: large variations escalated (C57).	Procurement lead	C57 operating, with a record of each case it covers.	M57 met for one full cycle.
A68	5. Strengthen further defences	Strengthen: written supplier contracts (C58).	Procurement lead	C58 operating, with a record of each case it covers.	M58 met for one full cycle.
A69	5. Strengthen further defences	Strengthen: assessment documented (C59).	Fraud risk lead	C59 operating, with a record of each case it covers.	M59 met for one full cycle.
A70	5. Strengthen further defences	Strengthen: owners know their risks (C60).	Fraud risk lead	C60 operating, with a record of each case it covers.	M60 met for one full cycle.
A71	5. Strengthen further defences	Strengthen: training on joining (C61).	HR and payroll lead	C61 operating, with a record of each case it covers.	M61 met for one full cycle.
A72	5. Strengthen further defences	Strengthen: written code of conduct (C62).	HR and payroll lead	C62 operating, with a record of each case it covers.	M62 met for one full cycle.
A73	5. Strengthen further defences	Strengthen: programme independently reviewed (C63).	Ethics lead	C63 operating, with a record of each case it covers.	M63 met for one full cycle.
A74	5. Strengthen further defences	Strengthen: trends reported upward (C64).	Ethics lead	C64 operating, with a record of each case it covers.	M64 met for one full cycle.
A75	6. Operate, measure and report	Run the 12 controls owned by the fraud risk lead through a full cycle and check each against its success measure.	Fraud risk lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A76	6. Operate, measure and report	Run the 3 controls owned by the investigations lead through a full cycle and check each against its success measure.	Investigations lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.

REF	PHASE	ACTION	OWNER	DELIVERABLE	COMPLETE WHEN
A77	6. Operate, measure and report	Run the 10 controls owned by the procurement lead through a full cycle and check each against its success measure.	Procurement lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A78	6. Operate, measure and report	Run the 10 controls owned by the operations lead through a full cycle and check each against its success measure.	Operations lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A79	6. Operate, measure and report	Run the 4 controls owned by the finance lead through a full cycle and check each against its success measure.	Finance lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A80	6. Operate, measure and report	Run the 12 controls owned by the HR and payroll lead through a full cycle and check each against its success measure.	HR and payroll lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A81	6. Operate, measure and report	Run the 4 controls owned by the ethics lead through a full cycle and check each against its success measure.	Ethics lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A82	6. Operate, measure and report	Run the 2 controls owned by the internal audit through a full cycle and check each against its success measure.	Internal audit	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A83	6. Operate, measure and report	Run the 2 controls owned by the chief executive through a full cycle and check each against its success measure.	Chief executive	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A84	6. Operate, measure and report	Run the 2 controls owned by the chief financial officer through a full cycle and check each against its success measure.	Chief financial officer	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A85	6. Operate, measure and report	Run the 1 control owned by the legal and compliance lead through a full cycle and check each against its success measure.	Legal and compliance lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A86	6. Operate, measure and report	Run the 1 control owned by the commercial and customer lead through a full cycle and check each against its success measure.	Commercial and customer lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A87	6. Operate, measure and report	Run the 1 control owned by the IT lead through a full cycle and check each against its success measure.	IT lead	A first-cycle review for each control, with exceptions and their resolution.	Each control has met its success measure for one full cycle, or has a recorded correction.
A88	6. Operate, measure and report	Report the status of every open and unresolved scheme to the board or its audit committee at each of its meetings until each is closed, deferred with a reason or accepted.	Chief executive	A one-page status: scheme, owner, controls in place, controls outstanding, next step.	The status is received and minuted at each meeting.

APPENDIX F

Measurement register

One success measure for each control, in the method's terms.

REF	MEASURE	CONTROL	OWNER
M01	Records for the period show that AI-enabled schemes, including deepfake instructions, synthetic identities and generated documents, are assessed for every relevant process.	C01	Fraud risk lead
M02	Records for the period show this practice applied to every case in scope: own AI tools in scope.	C02	Fraud risk lead
M03	Records for the period show this practice applied to every case in scope: AI methods tested per process.	C03	Fraud risk lead
M04	Records for the period show this practice applied to every case in scope: controls tested against AI fakes.	C04	Fraud risk lead
M05	The position the method treats as in place holds for the period: simulated AI attack: in place.	C05	Fraud risk lead
M06	Records for the period show that every investigation is done by people independent of the area and the people being investigated, and conflicts are declared.	C06	Investigations lead
M07	The position the method treats as in place holds for the period: who investigates: the organisation's own forensic or investigation team or an external forensic firm, brought in when needed.	C07	Investigations lead
M08	Records for the period show that every purchase is approved by someone with the authority to do so before the organisation commits, and the approval is recorded.	C08	Procurement lead
M09	Records for the period show that receipt is always recorded before the related invoice is paid.	C09	Operations lead
M10	Records for the period show this practice applied to every case in scope: services confirmed.	C10	Operations lead
M11	Records for the period show this practice applied to every case in scope: store access limited.	C11	Operations lead
M12	Records for the period show this practice applied to every case in scope: issues against approved requests.	C12	Operations lead
M13	Records for the period show that at every store, the people who keep stock records are different from those who hold the stock, and system access enforces this.	C13	Operations lead
M14	Records for the period show this practice applied to every case in scope: high-value items secured.	C14	Operations lead
M15	Records for the period show this practice applied to every case in scope: differences explained before adjusting.	C15	Finance lead
M16	The position the method treats as in place holds for the period: how stock is recorded: in an inventory or ERP system or in spreadsheets or manual records.	C16	Operations lead
M17	Records for the period show this practice applied to every case in scope: likelihood and impact rated.	C17	Fraud risk lead
M18	Records for the period show that a maintained list of high-risk roles covers the whole organisation, including roles that can move money, change master data or manage system access.	C18	HR and payroll lead
M19	Records for the period show this practice applied to every case in scope: no conflicting duties when covering.	C19	HR and payroll lead
M20	Records for the period show this practice applied to every case in scope: concerns raised fairly.	C20	HR and payroll lead
M21	Records for the period show this practice applied to every case in scope: support for financial pressure.	C21	HR and payroll lead
M22	Records for the period show this practice applied to every case in scope: recipients checked for links.	C22	Ethics lead
M23	Records for the period show this practice applied to every case in scope: hours approved by supervisor.	C23	HR and payroll lead
M24	Records for the period show this practice applied to every case in scope: data reviewed for unusual patterns.	C24	Internal audit
M25	The position the method treats as in place holds for the period: independent review of procurement: in place.	C25	Internal audit
M26	Records for the period show this practice applied to every case in scope: split orders monitored.	C26	Procurement lead
M27	Records for the period show this practice applied to every case in scope: senior review of supplier payments.	C27	Finance lead
M28	Records for the period show this practice applied to every case in scope: losses tracked and reported.	C28	Finance lead

REF	MEASURE	CONTROL	OWNER
M29	Records for the period show this practice applied to every case in scope: owner has authority across the organisation.	C29	Chief executive
M30	Records for the period show this practice applied to every case in scope: dedicated fraud capability.	C30	Chief executive
M31	Records for the period show this practice applied to every case in scope: annual fraud action plan.	C31	Chief financial officer
M32	Records for the period show this practice applied to every case in scope: qualified fraud leads.	C32	Chief financial officer
M33	Records for the period show that every risk is described as a specific scheme, with the perpetrator, the method and the process it affects.	C33	Fraud risk lead
M34	Records for the period show this practice applied to every case in scope: processes walked through.	C34	Fraud risk lead
M35	Records for the period show that management formally accepts the results, and every significant risk has a named owner who has agreed to it.	C35	Fraud risk lead
M36	Records for the period show this practice applied to every case in scope: process owners take part.	C36	Fraud risk lead
M37	Records for the period show this practice applied to every case in scope: leaders trained on their duties.	C37	HR and payroll lead
M38	Records for the period show that all high-risk activities, such as winning work, licences, customs and inspections, are identified and have specific extra controls.	C38	Legal and compliance lead
M39	Records for the period show this practice applied to every case in scope: new supplier approved by another person.	C39	Procurement lead
M40	Records for the period show that directors and owners, including those behind holding companies, are identified for every new supplier from an independent source.	C40	Procurement lead
M41	Records for the period show this practice applied to every case in scope: directors compared with staff.	C41	Procurement lead
M42	Records for the period show this practice applied to every case in scope: suppliers re-checked.	C42	Procurement lead
M43	Records for the period show this practice applied to every case in scope: dormant suppliers deactivated.	C43	Procurement lead
M44	Records for the period show this practice applied to every case in scope: bank change report reviewed.	C44	HR and payroll lead
M45	Records for the period show that every new record is checked against a signed appointment by someone other than the person who captured it, before the first pay run.	C45	HR and payroll lead
M46	Records for the period show this practice applied to every case in scope: payroll data analysed.	C46	HR and payroll lead
M47	The position the method treats as in place holds for the period: independent review of payroll: in place.	C47	HR and payroll lead
M48	Records for the period show that platform roles ensure that no one who captures payments or loads beneficiaries can authorise them.	C48	Finance lead
M49	Records for the period show that every refund goes to the original payment method or to a customer account verified before payment.	C49	Commercial and customer lead
M50	Records for the period show that whenever cash changes hands, two people count it, record it and sign for it.	C50	Operations lead
M51	Records for the period show that every deposit and collection is reconciled to the bank statement by someone who does not handle the cash, using statements obtained directly from the bank.	C51	Operations lead
M52	Records for the period show this practice applied to every case in scope: takings checked against an independent record.	C52	Operations lead
M53	Records for the period show this practice applied to every case in scope: mailbox rules and odd logins alerted.	C53	IT lead
M54	The position the method treats as in place holds for the period: speak-up channel: run by an independent provider or run internally.	C54	Investigations lead
M55	Records for the period show this practice applied to every case in scope: retaliation risk assessed.	C55	Ethics lead
M56	Records for the period show this practice applied to every case in scope: contract register.	C56	Procurement lead
M57	Records for the period show this practice applied to every case in scope: large variations escalated.	C57	Procurement lead
M58	Records for the period show this practice applied to every case in scope: written supplier contracts.	C58	Procurement lead
M59	Records for the period show this practice applied to every case in scope: assessment documented.	C59	Fraud risk lead
M60	Records for the period show this practice applied to every case in scope: owners know their risks.	C60	Fraud risk lead
M61	Records for the period show this practice applied to every case in scope: training on joining.	C61	HR and payroll lead

REF	MEASURE	CONTROL	OWNER
M62	The position the method treats as in place holds for the period: written code of conduct: approved by the board, council or owners.	C62	HR and payroll lead
M63	Records for the period show this practice applied to every case in scope: programme independently reviewed.	C63	Ethics lead
M64	Records for the period show this practice applied to every case in scope: trends reported upward.	C64	Ethics lead

APPENDIX G

Answer relationships

For each control reported fully in place, every practice of the same scheme reported weaker, not yet used or outstanding, and how the two answers relate. Only answers that cannot both be right, or a control relying on a weaker practice, leave the control unresolved. A further defence reported weaker does not change the answer given for the control; the reason for each classification is given.

SCHEME	CONTROL REPORTED IN PLACE	PRACTICE AND ITS ANSWER	RELATIONSHIP	WHAT IT MEANS
S01	**AI-enabled fraud covered**	Controls tested against AI fakes: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Assessing whether verification controls could be defeated by an AI-generated fake is a control-evaluation step, distinct from identifying AI-enabled schemes in the risk assessment.
S01	**AI-enabled fraud covered**	Own AI tools in scope: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	Misuse of the organisation's own AI tools is a different exposure from AI-enabled fraud aimed at the organisation.
S01	**AI-enabled fraud covered**	AI methods tested per process: reported as not in place.	ANSWERS THAT CANNOT BOTH BE RIGHT Reviewed pair	The answers about AI-enabled fraud cannot both be right as given: one says AI-enabled schemes are assessed for every relevant process, the other that the assessment does not ask, process by process, how AI could be used against it.
S01	**AI-enabled fraud covered**	Simulated AI attack: partly in place.	FURTHER DEFENCE WEAKER Reviewed pair	A simulated AI attack tests controls; it is not a condition of considering AI-enabled schemes.
S02	**Investigators independent**	Who investigates: line management or HR.	ANSWERS THAT CANNOT BOTH BE RIGHT Reviewed pair	The answers about investigations are hard to reconcile: one says every investigation is done by people independent of the area concerned, the other that suspected fraud is investigated by line management or HR. Unless line managers never investigate matters in their own area, both cannot be right.
S03	**Three-way match**	Most purchases are approved before commitment, through a purchase order or another record.	FURTHER DEFENCE WEAKER Reviewed pair	An approval recorded after commitment still lets an invoice be matched to an approved order; approval before commitment is a separate requirement, as the candidate-confirmation review found.
S03	**Three-way match**	Receipt is recorded for most deliveries, but not always before payment.	CONTROL DEPENDS ON A WEAKER PRACTICE Reviewed pair	Three-way match is reported for every invoice, but receipt of goods is reported as recorded before payment for most deliveries only. The match can check an invoice against receipt only where receipt has been recorded, so it cannot operate for every invoice as reported.
S03	**Three-way match**	Services confirmed: reported as not in place.	CONTROL DEPENDS ON A WEAKER PRACTICE Reviewed pair	For services, the person receiving the service is reported as not confirming delivery before payment, which is the receipt the match relies on for service invoices. Service invoices cannot be checked against receipt as reported.
S04	**Independent blind counts**	How stock is recorded: it is not formally recorded.	CONTROL DEPENDS ON A WEAKER PRACTICE Reviewed pair	Counts are reported as independent and blind to system quantities, but stock is reported as not formally recorded. Without a stock record there is nothing to compare a count with, so the counts cannot reveal stock hidden in them as reported.
S04	**Independent blind counts**	Store access limited: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Restricting access to stores is a separate preventive control.

SCHEME	CONTROL REPORTED IN PLACE	PRACTICE AND ITS ANSWER	RELATIONSHIP	WHAT IT MEANS
S04	**Independent blind counts**	Issues against approved requests: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Issuing stock against approved requests is a separate preventive control.
S04	**Independent blind counts**	Duties are separated on paper, but storekeepers can still change the records.	FURTHER DEFENCE WEAKER Reviewed pair	Separating custody from records is a separate control; independent counts can operate without it.
S04	**Independent blind counts**	High-value items secured: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Securing high-value items is a separate preventive control.
S04	**Independent blind counts**	Differences explained before adjusting: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Investigating count differences before adjusting records is the step that acts on what counts find; the method asks it separately and does not make the count depend on it.
S05	**Response decided**	Likelihood and impact rated: reported as not in place.	CONTROL DEPENDS ON A WEAKER PRACTICE Reviewed pair	Responses are reported for every risk above tolerance, but risks are reported as not rated for likelihood and harm. The method identifies risks above tolerance by comparing ratings with the approved tolerance, so the reported response process has no established way of telling which risks are above it.
S06	**Block leave required**	Managers know informally which roles are risky.	CONTROL DEPENDS ON A WEAKER PRACTICE Reviewed pair	Block leave is reported for everyone in a sensitive role, with compliance monitored, but high-risk roles are reported as known informally rather than listed. The requirement can reach only the roles that have been identified.
S06	**Block leave required**	No conflicting duties when covering: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Keeping cover staff from conflicting duties strengthens block leave; leave can be taken without it.
S06	**Block leave required**	Concerns raised fairly: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	A route for managers to raise concerns is a separate practice.
S06	**Block leave required**	Support for financial pressure: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Support for employees in financial difficulty is a separate practice.
S11	**Executive accountable for fraud**	Owner has authority across the organisation: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Executive accountable for fraud asks whether accountability for fraud risk is formally assigned; Owner has authority across the organisation asks whether that person has the authority and budget to act across the organisation. Accountability can be assigned without that authority, so neither answer makes the other untrue. The scheme's own description names both ownership and authority to act, so the scheme is only partly addressed.
S11	**Executive accountable for fraud**	Dedicated fraud capability: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	A dedicated fraud function or provider is a separate resource; formal accountability does not require one.
S11	**Executive accountable for fraud**	Annual fraud action plan: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	An annual plan or budget for fraud work is a separate practice from assigning accountability.
S11	**Executive accountable for fraud**	Qualified fraud leads: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	The qualifications of the people leading fraud work are a separate question; the method asks it wherever someone handles fraud risk.

SCHEME	CONTROL REPORTED IN PLACE	PRACTICE AND ITS ANSWER	RELATIONSHIP	WHAT IT MEANS
S12	**Fraud risks assessed**	Management has not seen or accepted the results.	FURTHER DEFENCE WEAKER Reviewed pair	Whether management formally accepts the results is asked separately from whether an assessment was done; an assessment can be done without formal acceptance.
S12	**Fraud risks assessed**	Process owners take part: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Participation of process owners is a quality of the assessment, not a condition of having done one.
S12	**Fraud risks assessed**	Some risks describe a scheme, but most remain general.	FURTHER DEFENCE WEAKER Reviewed pair	Describing risks as specific schemes is a quality of the assessment. The candidate-confirmation review found it distinct but route-conditional; it is not a condition of Fraud risks assessed.
S12	**Fraud risks assessed**	Processes walked through: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Walking through each high-risk process is a quality of the assessment, not a condition of having done one.
S13	**Bribery prohibited**	The main high-risk activities are identified, and some have extra controls.	FURTHER DEFENCE WEAKER Reviewed pair	Identifying high-risk activities directs extra controls; the prohibition does not depend on it.
S13	**Bribery prohibited**	Leaders trained on their duties: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Training directors and senior managers on their personal duties is separate from the prohibition itself.
S14	**New supplier process**	New supplier approved by another person: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	New supplier process at level 4 says every new supplier goes through set checks and an approval before it can be paid; it does not say the approver is someone other than the person who captured the supplier. New supplier approved by another person says they are not separated. The approval exists as reported but is not independent, which weakens the defence against an insider without contradicting the answer.
S14	**New supplier process**	Owners are identified only when something raises a concern.	FURTHER DEFENCE WEAKER Reviewed pair	Identifying directors and owners is one of the checks a process may include; level 4 of New supplier process does not specify it.
S14	**New supplier process**	Directors compared with staff: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Comparing supplier details with employee records is a further check the process may include; level 4 of New supplier process does not specify it.
S14	**New supplier process**	Suppliers re-checked: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Periodic re-checking of existing suppliers is a separate control on the existing supplier file.
S14	**New supplier process**	Dormant suppliers deactivated: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Deactivating dormant suppliers is a separate control on the existing supplier file.
S15	**Bank changes confirmed with employee**	Bank change report reviewed: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	Reviewing the bank-change report before each pay run is a detective layer behind confirming each change; confirmation does not depend on it.
S16	**Payroll reviewed by another person**	The person who captures the record checks it themselves.	FURTHER DEFENCE WEAKER Reviewed pair	Checking each new record against a signed appointment is a separate control at set-up; the pay-run review does not depend on it.
S16	**Payroll reviewed by another person**	Payroll data analysed: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Analysing payroll data is a separate detective practice.
S16	**Payroll reviewed by another person**	Independent review of payroll: partly in place.	FURTHER DEFENCE WEAKER Reviewed pair	An internal audit or external review of payroll is a separate assurance practice.

SCHEME	CONTROL REPORTED IN PLACE	PRACTICE AND ITS ANSWER	RELATIONSHIP	WHAT IT MEANS
S17	**Two authorisers for every payment**	Users can capture payments, load beneficiaries and authorise.	FURTHER DEFENCE WEAKER Reviewed pair	Two authorisers enforced by the bank still require a second person even where the capturer can also authorise; separating capture from authorisation is a further control, not a condition of dual authorisation.
S18	**Refunds approved independently**	Refunds are paid wherever the customer asks.	FURTHER DEFENCE WEAKER Reviewed pair	Independent approval of refunds and paying refunds only to the original source are separate controls on different steps.
S19	**Daily reconciliation**	Cash is counted at some handovers, such as at the end of the day, but not at shift changes.	FURTHER DEFENCE WEAKER Reviewed pair	Dual control when cash changes hands is a separate control from daily reconciliation.
S19	**Daily reconciliation**	Takings checked against an independent record: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	Reconciling takings to sales records can operate whether or not those records are independent of the cashier; an independent record strengthens it.
S19	**Daily reconciliation**	Deposits are checked against the statement occasionally.	FURTHER DEFENCE WEAKER Reviewed pair	Reconciling deposits to the bank statement is a separate control at the banking step.
S20	**Multi-factor on all email**	Mailbox rules and odd logins alerted: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Alerts on new mailbox rules and unusual logins detect a takeover that gets past multi-factor authentication; they are a further layer, not a condition of it.
S21	**People know whom to tell**	Speak-up channel: only informally, such as telling a manager.	FURTHER DEFENCE WEAKER Reviewed pair	Knowing whom to tell, including someone outside the reporting line, does not require a formal channel; an informal route can meet it.
S22	**Identities kept confidential**	Retaliation risk assessed: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	Assessing each reporter's risk of retaliation is a separate practice from keeping identities confidential.
S22	**Retaliation prohibited and punished**	Retaliation risk assessed: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	Assessing each reporter's risk of retaliation is a separate practice from prohibiting retaliation.
S23	**Variations approved first**	Written supplier contracts: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	Variations approved first applies 'whether or not there is a written contract', so it does not depend on written contracts.
S23	**Variations approved first**	Contract register: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	A register of active contracts is a separate control.
S23	**Variations approved first**	Large variations escalated: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Escalating large variations adds an approval tier to the approval Variations approved first reports.
S24	**Updated when the business changes**	Assessment documented: reported in place only in some areas, cases or periods.	FURTHER DEFENCE WEAKER Reviewed pair	The assessment is reported as partly documented; updating on change can operate on a partly documented assessment.
S24	**Updated when the business changes**	Owners know their risks: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Whether process owners know the risks recorded for their area is a separate practice from updating the assessment when the business changes.
S25	**Code accessible to staff**	Written code of conduct: not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Code accessible to staff asks about standards of conduct 'whether in a written code or not', so it does not depend on a written code.
S25	**Code accessible to staff**	Training on joining: reported as set out or agreed but not yet working in practice.	FURTHER DEFENCE WEAKER Reviewed pair	Fraud and ethics training at joining is distinct from explaining conduct standards where employees work; induction is only one of the places Code accessible to staff names.

SCHEME	CONTROL REPORTED IN PLACE	PRACTICE AND ITS ANSWER	RELATIONSHIP	WHAT IT MEANS
S25	**Code accessible to staff**	Programme independently reviewed: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Independent review of the ethics programme is a separate practice.
S25	**Code accessible to staff**	Trends reported upward: reported as not in place.	FURTHER DEFENCE WEAKER Reviewed pair	Reporting ethics trends upward is a separate practice.

APPENDIX H

Outstanding information

Every question asked and not answered. A declined question, a question answered "I don't know" and a question still waiting are all outstanding; none is treated as answered.

No answer is outstanding.

APPENDIX I

Roles used in this report

Each consolidated role and the method's own suggested owners behind it.

ROLE IN THIS REPORT	METHOD WORDING
Chief executive	CEO or company secretary
Chief financial officer	CFO or head of risk
Commercial and customer lead	Customer service or finance manager
Ethics lead	CSI or sustainability lead; Ethics officer or HR manager; Ethics officer or internal audit
Finance lead	Creditors manager or financial controller; Financial controller; Financial controller or internal audit; Financial controller or treasury manager
Fraud risk lead	Head of risk or the CFO; Risk manager or fraud risk lead; Risk manager, with internal audit
HR and payroll lead	HR lead or ethics officer; HR manager; HR manager, with the head of IT; HR or learning lead; HR or payroll manager; Payroll manager; Payroll manager or internal audit
Internal audit	Internal audit or financial controller
Investigations lead	Head of forensics or investigations; Head of forensics, risk or compliance
IT lead	Head of IT or IT provider
Legal and compliance lead	Compliance or legal lead
Operations lead	Operations or financial manager; Store, branch or cash office manager; Stores or operations manager; Warehouse or stores manager
Procurement lead	Contract manager; Head of procurement or CFO; Procurement manager; Procurement or creditors manager